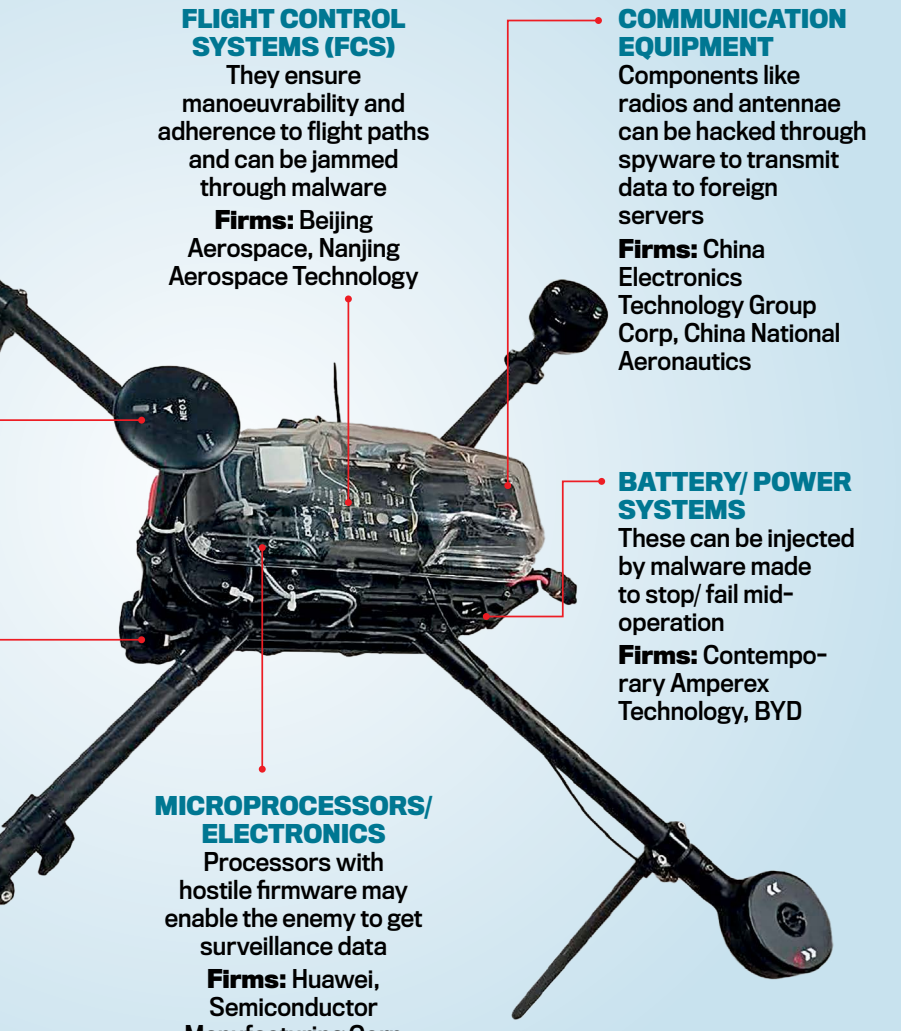


A CRACKDOWN ON CHINESE COMPONENTS CAN RAISE COSTS, WITH DRONE MAKERS FORCED TO BUY MORE EXPENSIVE FOREIGN PARTS

outside China to avoid detection.

In view of that possibility, the MoD narrowed its procurement norms, decreeing on November 30, 2023, that a minimum 50 per cent of the value of material, components and software of military drones must be of indigenous origin. However, monitoring that is challenging, as no entity in India has the mandate to certify IC percentages of defence equipment.

"Most Indian UAV manufacturers prefer importing engines, hydraulic systems, electronics, airframes and other components instead of collaborating with Indian companies to enhance indigenous content," says Narang. He attributes this to the lack of Qualitative Requirements (QRs) mandating maximum indigenous content across subsystems, materials, components, software, sensors and payloads as a procurement criterion. "Addressing this issue is crucial to reducing vulnerabilities and minimising unwarranted dependencies," he says.

However, a defence official points out that an immediate crackdown on Chinese-made components will increase the cost of developing military drones in the short term, as local manufacturers will need to source more expensive foreign-made parts till they develop and manufacture these, potentially leading to delays.

DRONE OPPORTUNITIES

As seen in the past two years of the Russia-Ukraine conflict, UAVs have transformed warfare. Recently, army chief Gen. Upendra Dwivedi described plans to induct indigenous drones as part of developing "smart soldiers", with every soldier equipped with a "drone to himself—an eagle on the arm of every soldier". The Indian military has plans to invest over Rs 3,000 crore in procuring nearly 2,500 military drones.

With the Indian drone market poised to breach the $40 billion mark (Rs 3.36 lakh crore) over the next decade, the government is promoting local drone manufacturing through initiatives such as the Production-Linked Incentive (PLI) scheme and reformed guidelines like the Drone Rules, 2021. Given the fact that the US has plans to procure over one million drones and Russia 1.4 million, these moves aim to promote India as a global drone manufacturing hub while reducing reliance on foreign technologies.

"The global demand for drones presents a unique opportunity for India," notes an expert. India could leverage its domestic requirement of over a million drones to position itself as a trusted exporter, given the global distrust of China and India's reputation as a reliable technology partner, he adds. However, other than developing fully indigenous drones, this will require a shift toward centralised procurement, ensuring standardisation of products, rather than allowing individual (military) units to buy drones independently.

The recent red flags over the use of Chinese components in military drones may have cast a shadow on India's grand drone project. As the military scrambles to develop a comprehensive cybersecurity framework, domestic manufacturers must be persuaded to develop their own components. A 100 per cent Make in India tag is the only way forward. ■